

FUNDAMENTAL CONCEPTS

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► **What is Expiry?** Expiry = the end date and time of the option In other words, when the option will expire.

► **What is Strike?** Strike = exercise price In other words, the main price level the option is tied to.

Call Bought with the expectation that the price will rise.

Put Bought with the expectation that the price will fall.

What is Premium here? The money you pay to buy either of these.

In other words: When buying a call, you pay a premium When buying a put, you pay a premium This is your entry cost.

And most of the time, for the buyer side, the maximum loss is close to this amount.

▼ **What are Contract Specs?** Contract specs = the technical rules of an option In other words, the details that determine how that option works.

In its simplest form: "What are the usage rules of this option?"

Contract specs Are the technical rules of the option.

Futures

A structure that responds more directly to price movement, where profit/loss is more linear.

Option

A structure whose value depends not only on price, but also on time, volatility, and the strike/expiry relationship — making it more complex and non-linear.

THE GREEKS

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What is Delta?

Delta = shows approximately how much the option price will change when the underlying price moves 1 unit.

In its simplest form: "If the price moves a little, how much does this option react?"

Call Delta In call options, delta is generally positive.

So if the price rises: the call price tends to increase

If the price falls: the call price tends to decrease

Put Delta In put options, delta is generally negative.

So if the price falls: the put price tends to increase

If the price rises: the put price tends to decrease

Why is Delta important? Because this is the foundation of the dealer hedge logic.

For example: a trader buys a call the market maker sells the call this option has a delta the market maker can buy and sell the underlying to balance this delta risk

So delta: creates a hedging need shows sensitivity to price movement is the foundation of DEX logic

How should Delta be understood? Delta can also be interpreted as an approximate probability, but for your use the more important side is this:

low delta = option price reacts less to the underlying high delta = option price reacts more to the underlying

Simplest sentence: Delta = the option's first reaction to price movement

What is Gamma?

Gamma = the rate of change of delta.

In its simplest form: "As the price moves, how quickly does delta change?"

For example: let's say the option's delta is 0.30 the price went up delta became 0.45

Gamma describes how quickly this change happens.

Why is it important? Because delta is not fixed. As the price moves, delta changes too. Gamma shows how aggressively this change will occur.

Why is it important near expiry? As expiration approaches, gamma can become more sensitive. Especially in ATM options, this effect becomes very large.

This is why: a small price movement can cause a large delta change and a larger hedging need.

What does Long Gamma mean? If the dealer is long gamma, the market can generally be more balanced.

Roughly: if the price rises, the dealer can sell if the price falls, the dealer can buy

This can suppress movement.

This is why a long gamma environment is often: calmer more controlled more suited to mean reversion

What does Short Gamma mean? If the dealer is short gamma, hedge behavior can amplify movement.

Roughly: if the price rises, the dealer may be forced to buy if the price falls, the dealer may be forced to sell

This can extend movement.

This is why a short gamma environment is often: more aggressive more volatile a structure where momentum extends more easily

Simplest sentence: Gamma = describes how fast delta is accelerating.

What is Theta?

Theta = the rate at which an option loses value as time passes.

In its simplest form: "Even if nothing happens, how much is this option eroding just from time?"

Why does it happen? Because the option's time remaining decreases. As expiration approaches, the "probability of something happening" decreases. This is why the option's time value erodes.

Why does the buyer get eaten by theta? The person who buys the option pays a premium. The time value inside this premium begins to erode over time.

So: even if the price doesn't move just because time passes the option can lose value

Why is it much more severe in 0DTE? Because time has almost run out. Even hours matter a great deal now.

This is why in 0DTE: the option can lose value very quickly if you're on the wrong side, premium can erode very fast decision-making time shortens

Simplest sentence: Theta = time slowly burning the option down.

What is Vega?

Vega = shows how much the option price will change when implied volatility changes.

In its simplest form: "If IV changes, how much is this option affected?"

Why is it important? Because an option's price doesn't only change with direction. The expected magnitude of movement also affects the price.

For example: if IV rises, the option generally becomes more expensive if IV falls, the option generally becomes cheaper

What does Vega tell us? Even if you're right on direction: if IV falls, you can still lose money if IV rises, you can see extra gains

Its connection to VEX Vega is the IV sensitivity of a single option. VEX can be thought of as the aggregate effect of this on the dealer side.

So: Vega = IV sensitivity of a single option VEX = IV sensitivity of the dealer structure

Simplest sentence: Vega = if volatility changes, how much does the option price move?

What is Rho?

Rho = shows how much the option price will be affected when the interest rate changes.

This is generally not very important for short-term intraday use. But it's good to know for your glossary.

In its simplest form: "If interest rates change, the option price is slightly affected."

In practice for your use: delta gamma theta vega

are far more important.

GREEKS CHART:



MONEYNESS AND PRICING

MONEYNESS AND PRICING

Why is Moneyness Important?

Because: delta changes gamma sensitivity changes time value structure changes it affects IV surface and skew interpretation

In particular: ATM options can often be more sensitive OTM options can be thought of more as buying probability ITM options carry more intrinsic value

Simplest sentence: Without knowing ATM / ITM / OTM, IV surface and greek logic won't fully click.

Time Value

The extra money paid because something might happen in the future.

What is ATM?

ATM = At The Money

If the price is very close to the strike, the option is considered ATM.

In its simplest form: "The option's strike and the market price are nearly the same."

ATM options are generally: more sensitive gamma effect is more pronounced attracts a lot of attention especially near expiry

What is ITM?

ITM = In The Money

If the option currently has intrinsic value, it is ITM.

For a Call: If the price is above the strike, the call is ITM.

For a Put: If the price is below the strike, the put is ITM.

In its simplest form: "This option has real intrinsic value right now."

What is OTM?

OTM = Out of The Money

If the option currently has no intrinsic value, it is OTM.

For a Call: If the price is below the strike, the call is OTM.

For a Put: If the price is above the strike, the put is OTM.

In its simplest form: "It has no intrinsic value right now — you're only buying probability."

What is Intrinsic Value?

Intrinsic value = how much real value does the option have right now, at this very moment?

In its simplest form: "How much is it worth if exercised right now?"

How is it calculated for a Call? For example: Call 17,000 market price 17,200

In this case the call's intrinsic value: $17,200 - 17,000 = 200$ So right now this call's real intrinsic value is 200.

What's the logic? In a call, if the price is above the strike, there is intrinsic value. The further above it is, the more intrinsic value there is.

If the price is below the strike: there is no intrinsic value meaning intrinsic value = 0

The logic is reversed for Puts In a put, if the price is below the strike, there is intrinsic value. Meaning the put benefits from a decline.

What is Time Value?

Time value = the portion of the option's price that exceeds its current real value, because there is still time remaining and the price can change in the future.

In its simplest form: "The extra money paid because something might happen later."

Why does it exist?

Because if the option still has time remaining, the market says: "OK, it might not be very valuable right now, but it could catch a good move before expiry."

Because of this probability, people pay extra for the option.

What does time value grow with?

Generally, time value increases as these increase:

1. Time The longer the expiry, the more chance the option has to do something.
2. Volatility The more volatile the market, the greater the probability the option gains value.

So: more time more volatility

= more expensive option

So what is Premium? Premium = the total price you pay to buy the option And it generally consists of two parts: Premium = Intrinsic Value + Time Value

Example:

Let's say: Call 17,000 market 17,200 option price 260

Here: intrinsic value = 200 remaining 60 = time value

So: 260 premium = 200 intrinsic value + 60 time value

What does "Most options expire at 0" mean?

Most options end up worthless at expiration.

Because the price most of the time doesn't move favorably enough toward the strike.

This is why most options end at: 0

In other words, people buy probability but that probability most of the time doesn't materialize.

What does "Premium = payment for probability" mean?

It means this: Premium is the money you pay for a probability.

You are not buying a guaranteed outcome. You are buying a possibility: maybe the price will rise maybe it will fall maybe a big move will happen

You pay money for that possibility. That money becomes the premium.

The simplest distinction:

Intrinsic Value → What is the real value right now?

Time Value → The extra money paid because something might happen in the future.

DEALER EXPOSURE

DEALER EXPOSURE

What is GEX?

GEX = Gamma Exposure The structure that shows at which strike prices market makers may be forced to hedge in the options market.

For example, if the price approaches an important GEX level:

the price may be drawn toward it it may slow down there it may bounce from there sometimes if it breaks, the move can accelerate

That's why these levels can act like: support resistance pin level reversal zone

If a strike has high GEX: market makers hedge more at that level this increases the probability of the price reacting to that level

This is why high GEX levels generally: can pull price like a magnetic zone can keep price pinned there can act like a wall in the short term

What is DEX?

How much risk is the market maker currently carrying against the price direction, and how much buying/selling must they do to stay neutral?

How does the logic work? DEX shows: In which direction dealers may create buying or selling pressure in order to stay delta neutral.

For example, someone is buying a call: the trader buys the call the market maker sells that call the market maker is now taking on risk to close that risk, they go and buy the underlying

So due to the options transaction, a hedge flow is created in the spot or futures market. DEX describes this in aggregate.

What does Positive DEX / Negative DEX mean?

Positive DEX: Means the dealer side is long delta. The delta side of the position they carry against price movement is positive.

Negative DEX: Means the dealer side is short delta. This can be more significant because the market maker may need to act more aggressively to hedge.

What does "Pressure Trigger" mean?

This is important. If the price approaches a large negative DEX level, market makers may be forced to sell more to hedge.

This means: the decline can accelerate momentum can increase the move can become more aggressive

So some DEX levels are not just targets, but can also be triggers that accelerate the move.

What is Charm?

Charm = the change in delta as time passes

Even if the market stands still: the time remaining on the option decreases so delta changes when delta changes, the market maker's hedge breaks down the market maker buys or sells again

So Charm is the effect that forces market makers to adjust their hedge due to time.

Negative Charm → long bias As time passes, delta decreases and the dealer may be forced to buy the underlying to maintain their hedge.

Positive Charm → short bias In this case, delta increases as time passes and the dealer may be forced to sell the underlying to stay neutral.

Charm = delta decay / time-driven delta change

Delta changes as time passes This creates hedge adjustments for market makers Its effect is generally slow and continuous Negative Charm = can create bullish bias Positive Charm = can create bearish bias Becomes more important near expiry and in 0DTE More useful when combined with GEX Not a standalone signal — it is an intraday bias tool

What is VEX?

VEX = Vega Exposure Shows how sensitive market makers are to changes in volatility.

In its simplest form: If IV changes, how much is the dealer side affected?

What is its connection to Vega? Vega shows how much the option's price changes when implied volatility (IV) changes.

Think of VEX as the larger-scale version of this: How much is the dealer's entire portfolio affected by IV changes in aggregate?

The simplest logic

Even if the price doesn't change at all, if IV alone rises or falls, the value of options changes.

This changes the dealer's risk.

When risk changes, the dealer: reconsiders their hedge adjusts their position can act more aggressively at certain levels

So VEX tells you: "How much pressure does a volatility change create on the dealer side?"

Why is it important?

Because sometimes the main story in the market is not direction, but volatility.

For example: fear increases IV rises options become more expensive dealer risk changes hedge structure reshapes itself

This is why VEX helps you understand how much stress the market is under.

What does Short Vega mean?

If the dealer side is short vega, a rise in IV hurts them.

Because as volatility increases, the value of options rises and the dealer side feels more risk.

In this case: hedge behavior can become more aggressive the market can become more sensitive spreads can widen moves can become more erratic

In short: Negative/Short Vega = IV increase is bad for the dealer

What does "Price of fear" mean?

IV is often the price of fear.

When the market gets scared: demand for protection increases option prices rise IV rises

VEX shows this: How much is this fear affecting the dealer side?

Think of it as: "If a volatility shock hits, where will it hurt the most?"

What does "Level strength filter" mean?

This is a good use case.

For example, at a certain level: there's a Major Wall there's an HVN and there's also high VEX

What does this mean?

That level is sensitive not just from a price perspective, but also from a volatility perspective. Meaning a break or rejection of that level could produce a more severe outcome.

Low VEX vs High VEX

Low VEX: the market can be calmer IV changes aren't creating much pressure moves can be more controlled

High VEX: the market is very sensitive to IV changes stress has increased dealer behavior can be more aggressive risk of sudden expansion increases

So VEX sort of tells you: "Is this move calm or stressed?"

How is it used as a Target / Trigger zone?

Zones with high VEX can sometimes become important because IV changes there can pressure the dealer more. This means:

when the price reaches that area, the market may not stay calm reactions can be sharp breakouts can be messier liquidity conditions can deteriorate

So these levels can sometimes be: trigger zones risk zones caution areas

What is TEX?

TEX = Theta Exposure

The pressure that time decay of options creates on market structure and hedge behavior as time passes.

In its simplest form: "As expiry approaches, how does time decay create pressure on the market?"

What is the Theta logic? Theta = the erosion of an option's extrinsic value as time passes.

This erosion accelerates as expiration approaches. It can be especially pronounced in short-dated and ATM options.

This is why as expiry approaches: premium erodes faster short-term positions become more sensitive hedge and position adjustments become more important

What does TEX describe? TEX is a way of thinking about the pressure this time decay creates on aggregate positioning and hedge behavior.

It asks: which strikes are seeing increased pressure as time passes which areas may see stronger pinning tendencies which areas become more sensitive as expiry approaches

What does Pinning pressure mean? Near expiry, at strikes with large open interest, price can sometimes tend to stay close to that level.

Behind this there are often effects such as: heavy position buildup delta/gamma hedge flow increased sensitivity of short-dated options

Strike pinning behavior is a well-known effect in options markets.

This is why environments where TEX feels high can sometimes: appear calmer keep price near certain strikes create short-term suppressed movement

But why is it not a standalone "vol suppressor"? The critical point here is this:

As expiry approaches, not just theta but gamma also becomes very sensitive. Especially in short-dated and ODTE structures, small price movements can create larger hedging needs.

This is why: if price stays pinned, the market may calm down but if price breaks meaningfully from the pinned zone, hedge flows can become more aggressive this can create sudden directional moves or sharp two-way volatility

So: theta can prepare calmness but gamma can amplify the move when the structure breaks

The relationship between Theta and Gamma Near expiry, theta and gamma gain importance together.

Theta: increases time decay pressure

Gamma: makes small price movements more dangerous

This is why it's more accurate to think of TEX not as a result, but more as a setup condition.

What might happen if TEX is high? In environments where TEX is high, these possibilities may increase: price staying close to major strikes temporary pinning behavior a structure that looks calm toward expiry but becomes aggressive if broken rapid hedge adjustments in the final phase

The most important logic TEX does NOT mean: "the market will definitely stay calm until expiry"

The more accurate interpretation is: pinning pressure may build toward expiry but if that pressure breaks, the move can become sharp

Quick Summary TEX = the pressure that time decay creates on market structure and hedge behavior as expiry approaches

High TEX can sometimes create pinning and calm but if the pin breaks, a sharp move can emerge through the gamma effect

VOLATILITY

VOLATILITY

What is Volatility?

Volatility = how fast and how hard the price is moving

Is the market moving calmly, or like crazy? It does not indicate direction. It only tells you the magnitude of the movement.

What does high volatility mean?

large candles fast movement sharp reactions more risk more uncertainty

What does low volatility mean?

small movements calmer price flow less panic less expansion

Why is volatility important in options?

Because the value of an option is not only related to direction, but also to the expectation of movement.

Simple logic: if a large move is expected, the option becomes more valuable if a small move is expected, the option becomes cheaper

Because the option benefits from large moves. So what happens?

If volatility increases, option premiums generally increase. If volatility decreases, option premiums generally decrease.

So option traders don't only look at: is price going up is price going down

They also look at: will the move be large or small

What is Volatility Trigger?

Volatility Trigger = a critical level at which the market's behavior may change when price arrives there.

In its simplest form: "If price comes here, the market may start moving faster and more aggressively."

What can the market experience as price approaches the volatility trigger?

hedger flow increases price moves more aggressively range market can break down consolidation can end and expansion can begin

What happens when price reaches or breaks it?

When price reaches or breaks this level: hedge flow can accelerate buying and selling pressure can grow moves can become sharper volatility can increase

What is IV Surface?

IV Surface = a 3-dimensional map showing how implied volatility is distributed across different strike and expiry combinations.

In its simplest form: At which prices and which expiries is the market pricing in more fear / risk?

Z axis = IV level

This is the vertical side.

So the higher the surface goes: the more expensive that option is the more fear / expectation exists there the market may be pricing in a larger move there

Simplest logic: High peak = expensive option = high expected risk

X axis = strike / moneyness

This is the price side.

You can see whether the option is: ATM OTM ITM

Smile

Relative to ATM, both far puts and far calls can be more expensive. Meaning the market is pricing in the possibility of extreme moves on both sides.

Simply: "Not normal — extreme moves are possible in either direction."

Difference between Smile and Skew

Smile: Both extremes are expensive. Meaning both downside and upside tail risk may be priced in.

Skew: One side is noticeably more expensive than the other. Generally the put side in indices.

Skew

The surface tilting to one side.

Especially in indices, generally: the put side is more expensive downside fear is priced in more

So if the surface is rising to the left, this usually means: "The market is more afraid of downside risk."

Y axis = time / DTE

This is the expiry side.

It shows the IV difference between: expiring today 1 week remaining 1 month remaining

This tells us: Is the market expecting more risk in the short term or the long term?

What is Term Structure? How IV changes across different expiries.

In other words, how does IV behave as time extends?

What is Contango?

If far-dated IV is higher than near-dated IV, this is often called contango.

This can be thought of as the more normal structure.

Logic: there may be more uncertainty further out because time is longer, the option can be more expensive

Simply: "No panic right now, but risk is being priced in as time extends."

What is Backwardation?

If near-dated IV is higher than far-dated IV, this is called backwardation.

This is a more noteworthy structure.

It generally tells you: there is near-term event risk panic is currently elevated the market is expecting movement "right now"

Simply: "The market is more afraid of today than of the future."

This can be especially important before: data releases FOMC earnings major news events

POSITIONING AND LEVELS

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OI = Open Interest

The number of contracts still open in an option.

At which strikes have people accumulated the most positions? This is why OI tells us: which levels are considered important where more positions have built up which strikes are attracting more attention

How does OI increase or decrease?

If OI increases: New positions are being opened. New contracts are entering the market. This generally means: new interest is coming in new risk is being created that strike is becoming more important

If OI decreases: Positions are being closed. Meaning: old contracts are being closed interest at that level may be fading

What does it tell us from a liquidity perspective? Places with high OI generally attract more attention. This is why: there are more positions there is more risk hedge flow can be more significant

These can also cause price to react more in those areas.

Volume

Shows how many transactions occurred today. In other words: intraday activity how much buying and selling took place that day

What is Max Pain?

Max Pain = the price level where option buyers suffer the most losses and option sellers are at their greatest advantage.

Option buyers want price to go to certain places.

But price closes in such a spot that: many calls expire worthless many puts expire worthless meaning most option buyers lose money

That level is the Max Pain level.

What are Trigger Levels?

Trigger level = a critical level that can change the market's behavior when price crosses it.

In its simplest form: "If price crosses here, the market is no longer the same market."

Think of it not just as normal support/resistance, but as a regime change level.

Why is it important? Because at certain levels, price doesn't just react — the market maker side also begins forced hedging.

This can: accelerate the move create directional momentum amplify volatility

So these levels sometimes become the market's "trigger points."

Simplest logic

When price reaches a trigger level, two things can happen:

1. Not triggered: price reaches the level reacts turns back regime doesn't change
2. Triggered: price breaks the level hedge flow grows volatility increases move suddenly accelerates

So the real event is not just price reaching the level, but the market changing character at that level.

What does Phase Transition mean?

What is being described here: A transition from one market state to another.

For example: In a Positive Gamma environment, the market can be calmer and more suppressed In a Negative Gamma environment, the market can be faster and more aggressive

So a trigger level is sometimes this line: "Up to here: calm market. Beyond here: accelerating market."

Why is the Positive Gamma → Negative Gamma transition important?

Because in this transition, market maker hedge behavior changes.

Roughly: Positive Gamma: moves can be suppressed price can be more controlled mean reversion more likely

Negative Gamma: moves can expand momentum can extend more easily volatility can accelerate

That is why this transition point is very important.

What is the Cascade Effect?

This means a chain reaction.

When price reaches a trigger level: delta changes gamma effect increases dealer is forced to hedge these hedge transactions push price further this creates even more hedging need

So: move → hedge → more move → more hedge

This chain sometimes creates very powerful intraday impulses.

What is Total Vol Trigger?

This can be thought of as the level at which the market may shift into high turbulence mode.

In its simplest form: "Beyond here, the range can expand."

So if price crosses this level: candles can get larger speed can increase expansion can begin market can break out of consolidation

This is why Total Vol Trigger is especially useful for understanding: will the day stay calm or will the range open up

Why is a Major Wall break important?

If there is an important Major Wall level and it is also supported by: high GEX high DEX strong options concentration

then it can be a serious barrier.

But if price breaks it anyway, this can mean: the liquidity at that strike was absorbed the defense weakened the hedge structure changed price can quickly move toward the next magnet level

So: if the wall is broken, a run into open space can begin

PHOD / PLOD

PHOD = Previous High of Day The previous high of the day.

PLOD = Previous Low of Day The previous low of the day.

G-Flip

Gamma Flip / Zero Gamma The level where the dealer structure changes regime. Above it is generally thought to be calmer / mean-reverting, below it more aggressive.

What is Call Wall / Put Wall?

Call Wall = a strike level where call open interest or gamma concentration is very high.

This level can sometimes: act like resistance slow down price pull price like a magnet if broken, launch a run toward the next level

Why? Because there: heavy positioning exists hedge flow is significant dealer behavior can make the level sensitive

But not every call wall is a guaranteed resistance. Context matters.

Put Wall = a strike level where put open interest or gamma concentration is very high.

This level can sometimes: act like support hold price pull price toward it if broken, accelerate the decline

Same logic applies: position concentration hedge behavior dealer structure

makes the level important.

But again, it's not a hard rule — the level should not be interpreted in isolation.

What is a Major Wall?

Major Wall = one of the most important high-concentration strike zones in the market.

This level: can be a call wall can be a put wall can be one of the most sensitive barriers of the day

Sometimes: it pulls price like a magnet sometimes it becomes impenetrable like a wall sometimes when broken, a sharp expansion begins

This is why major wall levels become especially meaningful when combined with: GEX DEX OI 0DTE concentration

Simplest sentence: Wall = concentrated strike barrier. Major Wall = one of the most critical ones.

FLOW READING

FLOW READING

What is a Sweep?

Sweep = an order structure that aggressively fills across multiple price levels or different exchanges very quickly.

In its simplest form: "Someone is in a hurry and wants fast fills."

What can this indicate? urgency aggressive intent desire to take on an important position

But be careful: not every sweep is a directional prediction sometimes it can be for hedging purposes sometimes it can be short-term

So when you see a sweep, it is not correct to immediately say: "It will definitely go up" or "It will definitely go down."

Simplest sentence: Sweep = can be an urgency signal, but context is required.

What is a Split?

Split = a large order broken into pieces and passed through separately.

In its simplest form: "Instead of one large transaction, it may have been shown as smaller ones."

Why is it done? to avoid drawing attention to get easier fills to execute the transaction more discreetly

This is why sometimes small-looking transactions on the screen can actually be parts of one large intention.

Simplest sentence: Split = even if the flow looks small, it can actually be a large transaction broken up.

What is a Block Trade?

Block trade = a large single-piece transaction.

In its simplest form: "A seriously large transaction just went through here."

This can be important because: there may be large player interest it could be an institutional transaction it could be a hedge transaction it could be a directional transaction

But be careful: not every large transaction is bullish not every large transaction is bearish sometimes it is just a hedge or part of a spread

So when you see a block trade, it is not correct to immediately draw a directional conclusion.

Simplest sentence: Block trade = you see a large transaction, but context determines why it was made.

What is Unusual Activity?

Unusual activity = options flow that is significantly larger, more noticeable, or more out of the ordinary than normal.

What can this be? abnormally large premium unexpected interest at a strike unusual volume heavy transactions in a short period of time

This can tell us: interest has increased there risk may be accumulating someone may be building an important position

But again, be careful: not every unusual activity is an opportunity sometimes it is just a hedge sometimes it is a closing transaction sometimes it is protection ahead of news

Simplest sentence: Unusual activity = it means there is noteworthy flow, but it does not give direction on its own.

What is Bid / Ask / Mid?

Bid = the price buyers want to pay Ask = the price sellers want to sell at Mid = the midpoint between the two

Transaction filled at the Ask: Generally can be interpreted as more aggressive buying. Meaning someone may have wanted to buy immediately.

Transaction filled at the Bid: Generally can be interpreted as more aggressive selling. Meaning someone may have wanted to exit or sell immediately.

Transaction filled at the Mid: More ambiguous. It can be harder to determine whether the buyer or seller is more dominant.

But a very important note: just because it filled at the ask doesn't mean it's definitely bullish just because it filled at the bid doesn't mean it's definitely bearish because the transaction could be a hedge, spread, or closing position

Simplest sentence: Bid/ask gives you a clue about the aggressiveness of the transaction, but it's not enough to determine full intent.

What is Opening vs Closing Flow?

Opening flow = a new position is being opened Closing flow = an existing position is being closed

This distinction is very important.

Because: if a new position is being opened, new risk may be entering if a position is being closed, an old thesis may be exiting

For example, you saw a large call transaction. This does not immediately mean bullish.

Because: it could be a new call purchase it could be the closing of an old short call it could be part of a spread

So to understand what the flow is really saying, you need to look at: is it being newly opened is it being closed is it a rollover is it a hedge

Simplest sentence: The same transaction appearance can carry completely different meaning depending on whether it is an opening or a closing.

EXPIRY AND TERM STRUCTURE

EXPIRY AND TERM STRUCTURE

What is 0DTE?

0DTE = Zero Days To Expiration In other words, options that will expire today.

In its simplest form: Options that are open in the morning and will expire by the evening. This is why they are extremely aggressive and extremely fast.

What does Hyper-Gamma mean?

This is the most important part. When expiration day arrives, the gamma effect of options becomes extremely sensitive.

This means: price moves just a little delta changes rapidly dealer's hedge breaks down dealer quickly buys/sells

So: small price movement → large hedging need can emerge.

Why is the Theta part important?

In 0DTE, time has almost run out. This is why the option's extrinsic value erodes very rapidly.

Meaning: as the hours pass, the option "burns" those holding positions are forced to make fast decisions hedge flows and position closings can increase

In short: 0DTE = the day time works most mercilessly

What is the Trading Impact?

1. Intraday Trigger Levels with heavy 0DTE concentration can be very important.

Because when price reaches those levels: hedge flow can accelerate volatility can explode sharp reversals can occur breakouts can accelerate

So 0DTE levels sometimes become the trigger points of the day.

2. Magnet / Wall Effect

Some 0DTE strikes work like a Magnet: They pull price toward themselves. Especially as expiry approaches, price can flow toward that strike.

Some work like a Wall: Price struggles to get past that level. Because hedging and liquidity are very concentrated there.

So the same level can sometimes be: an attractive center, and sometimes a wall that is hard to break through.

3. Reversal Point

At 0DTE levels, price sometimes reverses very sharply.

Why? Because hedge flow accumulates, liquidity concentrates, and when price hits the level an aggressive reaction comes.

That is why these are not just breakout levels — they can also be reversal levels.